

24NNCV06599 24NNCV06599

County: los-angeles

Division: Civil Law and Motion

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Case Number: 24NNCV06599 Hearing Date: August 14, 2026 Dept: T

Levisa

Wade et al v. TrainCareConsult, Inc (24NNCV06599)

PETITION TO APPROVE COMPROMISE FILED:

7/7/2026 – Amended Petition for Approval of Compromise of Claim or
Action or Disposition of Proceeds of Judgment for Minor or Person With a
Disability

NOTICE TO STATE AGENCIES WHEN PROPOSED TRUST IS AN SNT:

When seeking approval to fund a special needs trust (SNT), notice
of the hearing and service of the petition must be made upon three state
agencies including the Dept. of Mental Health, Dept. of Developmental Services,
and Dept. of Health Care Services.
(Probate Code section 3611(c), or 3602(f) if there is a conservatorship
of the estate or guardianship of the estate for plaintiff.) The proof of service attached to the
Petition indicates that service and notice is NOT complete as it does not
include the required state agencies.

PLAINTIFF/CLAIMANT:

Darnell Wade, DOB: 3/19/1995 – 31 years of age

PETITIONER:

Levisa Wade, parent and GAL (Appointed 12/23/2024)

GROSS AND NET SETTLEMENT (Petition, p. 6, sections 15 and 16f):

Gross Settlement Amount - \$650,000

Net Settlement Amount - \$455,435.01

PROPOSED RECIPIENT OF SETTLEMENT PROCEEDS (Petition, pp. 8-9, sec. 18):

Petitioner proposes to fund the entire net settlement proceeds into a SNT for plaintiff's benefit.

A SNT is used to receive the settlement funds in these situations so that plaintiff does not lose benefits eligibility for Medi-Cal, SSI, and other benefits. Currently, a person receiving Medi-Cal can have only up to \$130,000 in non-exempt assets (this will be reduced significantly in July of 2027) and if receiving SSI benefits could have only up to \$2,000 in non-exempt assets, and any additional non-exempt assets over those amounts would cause the loss of benefits eligibility under the relevant federal and state law.

Funds held in a valid SNT, however, are exempt assets that do not count toward the asset limits for purposes of calculating benefits eligibility.

PROPOSED TRUST INSTRUMENT:

Petitioner provides the proposed trust instrument at Attachment 18(b)(4), Court's pdf at pp. 69 - 106. Note: The Trust instrument attached to the Petition appears to have already been executed on April 27, 2026 and Petitioner has obtained a TIN from the Internal Revenue Service in April of 2026. This is premature as the creation and funding of the Trust has not yet been approved by this Court. Further, the signature block to the Trust indicates it was created by the "Conservator" however, item 18(b) of the Petition indicates there is no Conservatorship of the Estate – unclear whether this Trust is already in existence or if there is already a Conservatorship.

There are allowances for a first-party self-settled SNT if the disabled adult has capacity to form a Trust; however, in those instances, there would not be Court approval of the establishment of the Trust. Further, in an abundance of caution, there should be a finding that the Claimant has capacity

to execute the Trust – as there is a Conservatorship and Petitioner has been appointed GAL on the basis of lack of capacity, this would be a difficult finding to make at this point.

Assuming Court approval for the establishment and funding of the SNT is needed, the trust has been reviewed to determine if it complies with LASC 4.116(b) and CTC 7.903(c).

The proposed trust instrument does not meet the following requirements of CRC rule 7.903(c), labelled by quoted subsection.

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If Darnell Will Wade, the listed co-Trustee, is the same person as Darnell Wade, the Claimant/Beneficiary, this needs to be changed as the Claimant/Beneficiary should have no control over the Trust assets (See Article One, Section 2 of the SNT, pdf at p. 70)

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Initial Trust property is to be listed in Schedule A, but Schedule A is blank (See Article Two, Section 1, pdf at 72)

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CRC 7.903(b) requires the trust makes itself subject to the continuing jurisdiction and supervision of the court – This SNT expressly provides “No trust or trust share created under this Trust Agreement shall require the active supervision of any state or federal court.” (See Article Seven, Section 8, pdf at p. 90)

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CRC 7.903(c)(2) requires no modification or amendment without Court approval – it appears the “Special Co-Trustee” has the power to unilaterally make changes to the Trust without Court approval (See Article Three, Section 9 of the SNT, pdf at pp. 75 – 83)

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CRC 7.903((c)(4) prohibits investments by the trustee other than those permitted under Probate Code section 2574 – this SNT gives the co-trustees powers to invest in any type of investment and treat the assets of the Trust as if the were their own (See Article Eight, Section 1.a, c, d., pdf at pp. 91 – 94)

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CRC 7.903(c)(7) requires court approval of changes in trustees and a court order appointing any successor trustee – this SNT lists several successor trustees to serve automatically without requiring Court approval (See Article Three, Section 4 of the SNT, pdf at p. 74)

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CRC 7.903(c)(5) requires the trustee to post bond in the amount required under Probate Code section 2320 et seq. – this SNT waives bond for all trustees (See Article Seven, Section 3 of the SNT, pdf at p. 90)

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CRC 7.903(c)(6) requires the trustee to file accounts and reports for court approval in the manner and frequency required by Probate Code sections 1060 et seq. and 2620 et seq. – this SNT only requires that the account be delivered to the beneficiary without the requirement for court approval (See Article Three, Section 8 of the SNT, pdf at p. 74 and Article Seven, Section 7 of the SNT, pdf at p. 90))

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CRC 7.903(c)(8) requires compensation of the trustee, the members of any advisory committee, or the attorney for the trustee, to be in just and reasonable amounts that must be fixed and allowed by the court. The instrument may provide for periodic payments of compensation on account, subject to the requirements of Probate Code section 2643 and rule 7.755. With respect to trustee compensation, this SNT expressly states “such compensation is payable without the need of a court order” and is silent regarding others compensation (See Article Seven, Section 4 of the SNT, pdf at p. 90)

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The trust instrument should provide that upon the death of the trust beneficiary/plaintiff, any trust assets remaining after payback of medical assistance to the states shall be distributed to the trust beneficiary's heirs at law and not to any specific persons, which would be improper estate planning for an incapacitated adult – This SNT names specific beneficiaries to receive (See Article Six, Section 1 of the SNT, pdf at p. 88)

The proposed trust instrument does not contain the following terms as are traditionally required by LASC rule 4.116(b), labelled by quoted subsection:

(b)(2) Any purchase of a personal residence for a beneficiary may be made only if authorized by the court pursuant to the rules applicable to conservatorships and guardianships. (See Prob. Code, § 2571);

(b)(3) Any sale of a personal residence of the beneficiary may be made only if authorized by the court pursuant to the rules applicable to conservatorships and guardianships. (Prob. Code, § 2540(b).) Such sales must be returned to court for confirmation. (See Prob. Code, § 10300 et seq.); and

(b)(4) The trustee may not borrow money, lend money, give security, lease, convey, or exchange any property of the estate without prior authorization of the court. (Prob. Code, § 2550.)

FINDINGS WHEN THE PROPOSED TRUST IS A SNT:

Whenever a SNT is “established and continued” relating to funding from settlement proceeds, the court must make the following findings pursuant to Probate Code section 3604(b) (there are factual allegations in the Petition to Approve Compromise and its attachments supporting the settlement that generally cover the requisite findings):

The SNT beneficiary has a disability which substantially impairs the individual's ability to provide for her own care or custody and constitutes a substantial handicap;

Claimant is non-verbal with autism (this was taken from a review of the medical records; Petitioner has not set forth any information indicating the disability and whether the Claimant's disability substantially impairs his ability to provide for his own care

The SNT beneficiary is likely to have special needs that will not be met without the trust;

Paragraph

19 indicates that Claimant has not received Medi-Cal or other public

assistance related to the injury – unclear if Claimant receives any needs-based benefits generally such that the SNT is needed to preserve the benefits

Additional

information is needed for a finding that the Trust is necessary to meet the special needs of the Claimant (often this is done with facts supporting what benefits or special services will be lost if the funds are received outright rather than through a SNT)

The money to be paid to the trust does not exceed the amount that appears reasonably necessary to meet the SNT beneficiary's special needs.

Petitioner

has not set forth any facts regarding costs of care for the beneficiary's special needs or even identified what additional care is needed which would be expected to be paid from the Trust – without this information, it is difficult to determine whether the amount funded into the Trust is excessive

Item

20 of the Petition requests the Court reserve jurisdiction over the final amount of the Los Angeles Firemen's Relief Association plan's reimbursement claim, with any reduction added to the trust for the claimant's benefit – how much is that potential addition?

Article

Two, Section 2 allows for the addition of assets by anyone at anytime – this would call into question a finding that the money paid into the trust does is not excessive if there are no limits on what could be funded in the future

TRUSTE AND BOND:

The proposed initial trustees are Levisa Wade and Darnell Will Wade. Normally, bond must be required of a trustee unless the trustee is a corporate fiduciary/trust company. (California Rules of Court, Rule 7.903(c)(5), Probate Code sections 2320, 15602.) The proposed co-trustees do not meet that requirement and bond should be

required.

Normally, bond must be required

of a trustee unless the trustee is a corporate fiduciary/trust company. (California Rules of Court, Rule 7.903(c)(5), Probate Code sections 2320, 15602.) The proposed co-trustees do not meet that requirement and bond should be required in the amount of the funded trust.

Petitioner does not request or calculate bond and the SNT provides for a waiver of bond (see above).

A proper bond calculation based upon the assets to be funded into the trust, plus anticipated annual income from investments and annuity if relevant, plus an additional amount required for the costs of any recovery on the bond, is \$511,000. If the petition is approved, that bond amount should be required, which will be submitted by trustee to this department (which will later be resubmitted to the Probate court in any trust supervision action).

ORDERS/PROPOSED ORDER:

Proposed Order received stamp date: 7/7/2026
(no new proposed order was submitted following the continuance from 7/10/2026 to 8/17/2026)

General trust orders are made at item
13, Order pdf at 4. The following items are missing/deficient:

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Trust terms are not included in the order as
required (LASC rule 4.115(c)(2).

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Required Probate Code 3604(b) findings are not
made in order.

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Order does not provide for court jurisdiction
over trust. Order includes a finding of good cause under LASC Rule 4.115(d)(1)
to exempt the trust from ongoing court supervision – there is no such exemption

provided for in the local rules

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Order does not include bond

Based on the foregoing, the petition
is denied. In addition, the following issues
must also be addressed:

Once the petition is approved, this
court will require the filing of a Notice of Commencement of Proceedings for a
Court Supervised Trust on LASC Form PRO 044 in the Probate division of this
court within 60 days (a general statement in the order on the compromise
petition that the PRO 044 must be filed in 60 days, or an actual stated
calendar date in 60 days, is okay either way).
This filing that will pass jurisdiction over the trust to the Probate division
of this court to provide for court supervision of the trust over the
years. It is in that Probate case that
accountings will be filed periodically by trustee, as well as any other
petitions involving the trust. The proposed order should include that
the trustee's first accounting is due filed in the Probate case within a year,
and an actual 14-month calendar due date should be stated. It is that actual date that will be picked up
by the Probate filing window when the trust supervision action is filed and an
OSC/compliance date re the first accounting will be set.

To the extent necessary, the Court will approve an additional \$2,000 in attorney fees to retain a trust attorney to consult on
these issues.

The Court sets an OSC re Filing of Amended Petition for October 1, 2026 at 8:30 a.m.